Buzzacott

UK Tax Report

07 May 2026

UK corporate tax residency review for the Director's of Australian Institute of Food Safety Pty Ltd and Moncel Australia (RTO) Pty Ltd

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Australian Institute of Food Safety Pty Ltd

UK corporate tax residency review

1. Background

1.1 Stuart Hilditch ("Stuart") and Danielle Hilditch ("Danielle", or together "you") are currently living in Australia and are Australian resident and hold your business interests via a corporate structure held by Australian resident discretionary trusts.

1.2 Your corporate interests include Australian Institute of Food Safety Pty Ltd ("AIFS" or "the Company"), Canadian Institution of Food Safety Limited, Userve Inc, Moncel Australia (RTO) Pty Ltd ("Moncel"), and Australian Institute of Food Safety Foundation. Our advice will only analyse the Australian resident companies.

1.3 AIFS is the primary commercial entity, developing and commercialising courseware material and certification programs for the service sector. The courses primarily cover areas such as food safety, alcohol service and workplace health and safety.

1.4 AIFS are profit-making, making net profit of $233,819.21 for the year ended 30 June 2025, and has made net profit of $500,728.04 in the nine months ended 31 March 2026. The net profit is then moved to the trusts through a dividend.

1.5 Moncel is an Australian registered training organisation, regulated by the Australian Skills Quality Authority. It does not actively receive income or incur expenses and is used solely for the purpose of issuing certifications.

1.6 You are planning to relocate to the UK on May 11th, and do not intend to stay in the UK for more than four tax years.

1.7 You do not want the companies to become UK resident but want to ensure that governance remains practical and commercially workable.

1.8 In preparation of your move to the UK, you are in the process of removing yourselves as Directors of AIFS, and have appointed Andrew as Director, along with retaining Rod Hilditch ("Rod") as Director.

2. Scope

2.1 We have been instructed to provide tax advice in connection with reviewing the corporate residency of Moncel and AIFS.

2.2 Our advice will specifically focus on:

2.2.1 An assessment of AIFS and Moncel's corporate residency, including the likelihood that it would be regarded as UK-resident.

2.2.2 A review of permanent establishment ("PE") risks, including whether the activities in the UK or Australia create a PE.

2.2.3 Recommending a governance framework to help demonstrate non-UK corporate residence, including board composition, decision-making protocols, and practical documentation.

Buzzacott LLP has prepared this report for Australian Institute of Food Safety Pty Ltd. It reflects the scope of the work in our engagement letter of 24 April 2026 and is provided subject to the terms of that letter and our Terms of Business. This document is for the benefit of our client, Australian Institute of Food Safety Pty Ltd, only, it may not be used or relied upon by any other person, and we do not accept any liability, duty or responsibility to any other person in respect of its content or provision. This report contains our final views on the issues you have asked us to consider. It has been prepared on the basis of the circumstances applying at the date of this report. Those circumstances include, without limitation, any applicable Australian/UK tax law, policy, legislation, regulation, guidance, and our understanding of published practice. After that date, we are under no obligation to you to revisit or update its content in light of any change to those circumstances, nor are we obliged to inform you of such change.

3. Executive summary

3.1 UK corporate tax residency is determined either by a company's place of incorporation or by where central management and control ("CMC") is exercised.

3.2 Moncel was incorporated in Australia, however as you will be the sole Directors, there is a significant risk that CMC could be regarded as exercised in the UK, and therefore UK resident.

3.3 Although Moncel currently has no trading activity, this does not remove the residency position itself. UK corporation tax consequences would arise if Moncel commenced trading or undertook any transactions during your time in the UK.

3.4 You are in the process of resigning as Directors of AIFS, and AIFS will have a board of directors exclusively of Australian resident individuals. Provided that all board-level strategic decisions are genuinely made outside of the UK, the Company should not be considered UK tax resident.

3.5 However, the residency risk remains for AIFS if you dominate discussions or key decisions, and especially if those decisions are made whilst physically in the UK. To minimise the UK tax residency risk, you should ensure that board meetings are attended outside of the UK, and strategic decisions are made by the Australian resident Directors.

3.6 While we consider that AIFS remains Australian resident, there is a high likelihood that a UK PE will arise from your activity in the UK, given your senior roles within the business and anticipated involvement in negotiating and concluding contracts.

3.7 We recommend incorporating a UK-resident company owned between Stuart and Danielle to carry out UK activities and provide services to AIFS under a formal service agreement. The services provided to AIFS should be carried out at an arm's length basis and should be charged through a management charge. The shares should be held 50/50 between Danielle and Stuart and remain outside the group to ensure the trust does not hold UK property which would jeopardise distributions from the trust to the beneficiaries qualifying for the foreign income and gains ("FIG") regime.

4. Corporate Tax Residency

4.1 There is no formal definition of what makes a company resident for UK tax purposes under UK tax law. The residence of a company is determined according to either where the company is incorporated or where CMC lies.

4.2 AIFS and Moncel were both incorporated in Australia, therefore are automatically considered to be tax resident in Australia. However, as you remain as shareholders of both AIFS and Moncel, a question over where CMC lies will determine whether the companies are also treated as UK tax resident.

4.3 The CMC test for company tax residency has been developed from UK case law, specifically De Beers Consolidated Mines Ltd v Hose (1906). In this case, it was held that a company is resident where its real business is carried on, and the real business is carried on where CMC actually abides, rather than the company's operations.

4.4 When HMRC and the courts examine where CMC lies, they will firstly, consider who actually makes the strategic policy decisions and where those decisions are taking place, not solely where the board meetings are happening. This means that the shareholders or Directors' personal residence and location when making strategic decisions can affect the residency of a company.

4.5 When looking at what counts as a key decision, the nature of the company must be considered. For a trading company such as AIFS, key strategic decisions that determine where CMC lies would include those you would expect a board of Directors to make. This can include decisions relating to any key aspect of operational, financial or personnel policy, major operational decisions, approval of major trading contracts and decisions on the engagement or dismissal of Directors and other senior personnel.

4.6 For holding companies such as Moncel, key strategic decisions that may determine CMC would include the acquisition or disposal of shares, decisions on group structures, financing, dividend policy, and the appointment of Directors.

Moncel

4.7 We understand that Moncel currently has no income or expenditure and does not carry on trading activities, with its activities limited to issuing certifications.

4.8 Due to the lack of income and expenditure, and Moncel having no subsidiaries, there are limited key strategic decisions to be made for the entity. As such, the risk of Moncel being UK tax resident should be limited.

4.9 As you are the sole directors of Moncel and UK-resident, any strategic decisions taken during the four years will be made in the UK.

4.10 We therefore believe that there is a high risk that Moncel will be regarded as UK tax resident while this board composition remains.

Australian Institute of Food Safety Pty Ltd

4.11 As an Australian trading company, the core business activities are carried out in Australia. Many strategic decisions are therefore naturally taken in Australia.

4.12 You are in the process of resigning as Directors of AIFS. The board will comprise of two Australian resident Directors and no UK-resident Directors. This is a strong indication that CMC remains in Australia.

4.13 We understand that quarterly board meetings will take place in Australia, which you will attend remotely whilst being physically outside of the UK. This is also a good indication of CMC residing in Australia. However, HMRC will not look at the location in isolation, and will look at whether you effectively formed the decisions whilst in the UK.

4.14 HMRC will also assess whether the Board of Directors is exercising genuine independent judgement. If the Directors are merely approving the views of Danielle and Stuart, there is a risk that Danielle and Stuart could be regarded as exercising shadow control, which could result in CMC being treated as UK-based.

4.15 The Board of Directors should be actively involved in the business, informed, and engaged in the decision-making process. Board minutes should show challenge, discussion, and independent reasoning on key strategic issues.

4.16 We believe that there is a medium risk of becoming UK tax resident due to the ultimate beneficial owners becoming UK resident despite the composition of the board being wholly Australian resident, and the fact that board meetings will be held and attended outside of the UK.

Best practices to mitigate UK tax residency risk

4.17 To reduce the risk of AIFS and Moncel being treated as UK tax resident, the following board governance and documentation practices are recommended:

4.17.1 Maintaining the current AIFS board composition and not hiring yourself back onto the Board of Directors.

4.17.2 Hiring Australian resident Directors for Moncel, who can demonstrate independence from Danielle and Stuart.

4.17.3 Hold all board meetings outside of the UK, ensuring full and accurate minutes record the time, place, attendees, and substantive discussions. Also ensure that Danielle and Stuart are not physically in the UK whilst attending the meetings remotely.

4.17.4 Clearly document in the minutes the board’s consideration of strategic issues, the reasoning behind decisions, and any questions or views raised by Directors.

4.17.5 Retain all board documentation (minutes, agendas, supporting documents) at AIFS’ registered office outside the UK, and have them signed by either Andrew or Rod.

4.17.6 Ensure strategic decision-making is not concentrated with Danielle and Stuart. The Directors should be actively and equally involved.

4.17.7 Whilst in the UK, only concern yourself with the operational side of the business and not the strategic decision-making process.

5. Dual residency

5.1 Where a Company is incorporated in Australia, but CMC is exercised in the UK, the company may be regarded as dual-resident, meaning it is treated as tax resident in both Australia and the UK. The effect of being dual resident is that the Company will be subject to corporation tax on the company’s worldwide profits and gains in both Australia and UK.

5.2 Australia and the UK have a double tax treaty (“the Treaty”) which contains a tie-breaker clause to determine which country residence lies in. The tie-breaker clause states that the competent authorities come together and look at many factors, such as place of effective management (“POEM”).

5.3 It is important to note that POEM is different from CMC. POEM looks further than where board meetings are held, and the strategic decision-making process, as it looks at where key management and commercial decisions that are necessary for the conduct of the entity’s business are made.

5.4 As the sole shareholders and Directors of Moncel, it is highly likely that POEM will be located in the UK, meaning Moncel will be UK tax resident.

5.5 However, as Moncel has no income or expenditure, there will not be any immediate impact on the entity. Residency will only be considered if the entity commences trading within the next four years.

6. UK Permanent Establishment ("PE")

6.1 A non-UK resident company can also have a PE in the UK, if it has a fixed place of business through which the business is partly or wholly carried on, or an agent acting on behalf of the company has and habitually exercises their authority to do business on behalf of the company.

6.2 If a UK PE exists, the Company is required to register as an overseas company with Companies House. They will also be required to register for UK corporation tax with HMRC within three months of the date the company becomes liable for tax.

6.3 The Treaty takes precedence over domestic tax laws to determine how the PE is taxed. The Treaty is based on both the OECD model double tax treaty and the UK model provisions.

UK PE mitigations

6.4 To minimise PE risk, the Company should ensure that only preparatory or auxiliary activities, such as information gathering, administrative support, or non-binding preliminary discussions, are carried out in the UK.

6.5 Any substantive negotiation of trading terms, contract approvals, or concluding agreements should take place outside the UK and be undertaken by non-UK resident Directors or personnel with appropriate authority.

6.6 As it is commercially unavoidable for certain UK based activities to exceed the preparatory or auxiliary threshold, we recommend ring-fencing those activities by incorporating a separate UK-resident company.

6.7 The company would be outside of the group to ensure the trust does not hold UK property which would jeopardise distributions from the trust to the beneficiaries qualifying for the FIG regime.

6.8 The UK-resident company would undertake the UK activities, with the UK entity charging a management charge to AIFS for your services. UK transfer pricing provisions will apply. The transaction must be carried out at an arm's length basis. On your instruction, Buzzacott can incorporate this UK Limited company and complete the required annual compliance.

6.9 Transfer pricing documentation should be held if the group is considered to be large. To be considered either small or medium, the following limits apply:

6.9.1 Less than 250 employees and either;

6.9.2 Less than €50m turnover or;

6.9.3 Less than €43m total assets

6.10 Based on our understanding, the group falls under the small/ medium thresholds and is therefore not required to undertake transfer pricing studies and hold the relevant documentation.

Agency PE

6.11 According to the Treaty, a PE could be established should any employees have and habitually exercise, an authority to conclude contracts in the name of the company in the associated jurisdiction. Indicators of an employee or Director acting as an agent include:

6.11.1 Entering and concluding contracts in the name of an enterprise which are binding on the enterprise.

6.11.2 A person who is authorised to negotiate all elements and details of a contract in a binding way.

6.11.3 Habitually exercising their right of authority to conclude contracts.

6.12 Due to the both of you being ultimate beneficial owners through the trusts, and holding senior positions in AIFS, you would likely be deemed an agent of the Company. Therefore, your UK work creates a high risk of a UK PE and consequently exposure to UK tax.

6.13 We understand that you will be carrying out operational business activities whilst in the UK, and this will include negotiating and concluding contracts on behalf of AIFS. Therefore, we believe that a UK PE will arise under the Agency conditions.

UK PE implications

6.14 AIFS will be subject to UK corporation tax on the profits attributable to the UK PE. Broadly, the profits attributable to the PE are those which it would have made had it been a separate and independent enterprise engaged in the same or similar activities under the same of similar conditions.

6.15 The UK branch should also register for VAT and run payroll if necessary.

6.16 AIFS will also be required to file annual financial statements of the whole entity with Companies House within three months from the date the document is required to be disclosed in accordance with Australian law.

Appendix A – Australia/UK treaty extracts for residency

1) For the purposes of this Convention, a person is a resident of a Contracting State:

(a) in the case of the United Kingdom, if the person is a resident of the United Kingdom for the purposes of United Kingdom tax; and

(b) in the case of Australia, if the person is a resident of Australia for the purposes of Australian tax.

2) A Contracting State or a political subdivision or local authority of that State is also a resident of that State for the purposes of this Convention.

3) A person is not a resident of a Contracting State for the purposes of this Convention if that person is liable to tax in that State in respect only of income or gains from sources in that State.

4) The status of an individual who, by reason of the preceding provisions of this Article is a resident of both Contracting States, shall be determined as follows:

(a) that individual shall be deemed to be a resident only of the Contracting State in which a permanent home is available to that individual; but if a permanent home is available in both States, or in neither of them, that individual shall be deemed to be a resident only of the State with which the individual's personal and economic relations are closer (centre of vital interests);

(b) if the Contracting State in which the centre of vital interests is situated cannot be determined, the individual shall be deemed to be a resident only of the State of which that individual is a national;

(c) if the individual is a national of both Contracting States or of neither of them, the competent authorities of the Contracting States shall endeavour to resolve the question by mutual agreement.

5) Where by reason of the provisions of [the convention] a person other than an individual is a resident of both [Contracting States], the competent authorities of the [Contracting States] shall endeavour to determine by mutual agreement the [Contracting State] of which such person shall be deemed to be a resident for the purposes of [the convention], having regard to its place of effective management, the place where it is incorporated or otherwise constituted and any other relevant factors. In the absence of such agreement, such person shall not be entitled to any relief or exemption from tax provided by [the convention].

6) Notwithstanding paragraph 4 of this Article, where by reason of paragraph 1 of this Article a company, which is a participant in a dual listed company arrangement, is a resident of both Contracting States then it shall be deemed to be a resident only of the Contracting State in which it is incorporated, provided it has its primary stock exchange listing in that State.

7) The term "dual listed company arrangement" as used in this Article means an arrangement pursuant to which two publicly listed companies, while maintaining their separate legal entity status, shareholdings and listings, align their strategic directions and the economic interests of their respective shareholders through:

(a) the appointment of common (or almost identical) boards of directors;

(b) management of the operations of the two companies on a unified basis;

(c) equalised distributions to shareholders in accordance with an equalisation ratio applying between the two companies, including in the event of a winding up of one or both of the companies;

(d) the shareholders of both companies voting in effect as a single decision making body on substantial issues affecting their combined interests; and

(e) cross-guarantees as to, or similar financial support for, each other's material obligations or operations, except where the effect of the relevant regulatory requirements prevents such guarantees or financial support.

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Appendix B – Australia/UK treaty extracts for residency

1) For the purposes of this Convention, the term “permanent establishment” means a fixed place of business through which the business of an enterprise is wholly or partly carried on.

2) The term “permanent establishment” includes especially:

(a) a place of management,

(b) a branch,

(c) an office,

(d) a factory,

(e) a workshop and

(f) a mine, an oil or gas well, a quarry or any other place of extraction of natural resources.

3) A building site or construction or installation project constitutes a permanent establishment only if it lasts more than twelve months.

4) Notwithstanding the preceding provisions of this Article, the term “permanent establishment” shall be deemed not to include:

(a) the use of facilities solely for the purpose of storage, display or delivery of goods or merchandise belonging to the enterprise;

(b) the maintenance of a stock of goods or merchandise belonging to the enterprise solely for the purpose of storage, display or delivery;

(c) the maintenance of a stock of goods or merchandise belonging to the enterprise solely for the purpose of processing by another enterprise;

(d) the maintenance of a fixed place of business solely for the purpose of purchasing goods or merchandise or of collecting information, for the enterprise;

(e) the maintenance of a fixed place of business solely for the purpose of carrying on, for the enterprise, any other activity of a preparatory or auxiliary character;

(f) the maintenance of a fixed place of business solely for any combination of activities mentioned in subparagraphs (a) to (e), provided that the overall activity of the fixed place of business resulting from this combination is of a preparatory or auxiliary character.

5) Notwithstanding the provisions of paragraphs (1) and (2), where a person – other than an agent of an independent status to whom paragraph 6 applies – is acting on behalf of an enterprise and has, and habitually exercises, in a Contracting State an authority to conclude contracts in the name of the enterprise, that enterprise shall be deemed to have a permanent establishment in that State in respect of any activities which that person undertakes for the enterprise, unless the activities of such a person are limited to those mentioned in paragraph (4) which, if exercised through a fixed place of business, would not make this fixed place of business a permanent establishment under the provisions of that paragraph.

6) An enterprise shall not be deemed to have a permanent establishment in a Contracting State merely because it carries on business in that State through a broker, general commission agent or any other agent of an independent status, provided that such persons are acting in the ordinary course of their business.

7) The fact that a company which is a resident of a Contracting State controls or is controlled by a company which is a resident of the other Contracting State or which carries on business in that other State (whether through a permanent establishment or otherwise), shall not of itself constitute either company a permanent establishment of the other.

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Appendix C – group structure